

FINANCIAL LITERACY AMONG COLLEGE STUDENTS AND ITS IMPACT ON FINANCIAL DECISION-MAKING

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ABSTRACT

Financial literacy is an important skill that people need to know about in today's economy especially for college students who are just starting to be in charge of their own money. Even though it is easier for people to use services and digital platforms a lot of students do not know how to handle their money well. This study is looking at how college students understand financial literacy and how it affects the way they make decisions about money.

The study is using information that was collected from research papers and it is focusing on a few key things like what students know about money how they behave with money and how they feel about money. It seems that even though students use things like mobile banking and online payment apps a lot they do not really understand money concepts like making a budget saving money investing money and not putting all their money in one place.

The research also found out that things like how education someone has whether they are a man or a woman how much money they have and if they have learned about money in school can all affect how well they understand financial literacy. College students who know a lot about money tend to make decisions about money like saving money regularly and planning for the future but students who do not know a lot about money often make bad decisions about money.

The study says that schools should teach students about money in their classes. If students know more about money they will be better, at handling their money. This will help them have a more stable financial life and be better off economically.

INTRODUCTION

Financial literacy refers to the ability of individuals to understand financial concepts and effectively manage their financial resources. In recent years, the importance of financial literacy has increased significantly due to rapid technological advancements, the growth of digital financial services, and the complexity of financial products.

College students represent a crucial group in society as they are transitioning from financial dependence to independence. At this stage, they begin to handle their own finances, including managing expenses, saving, and making financial decisions. However, many students lack

adequate financial knowledge, which often results in poor financial habits such as overspending, lack of savings, and improper financial planning.

The rise of digital financial platforms such as UPI, mobile banking, and online investment tools has made financial services easily accessible. While these innovations have increased convenience, they have also increased financial risks due to lack of awareness. Students often use these tools without understanding their financial implications.

Historically, financial education has not been a major part of formal education systems. However, in the current financial environment, it is essential to equip students with financial knowledge and skills. Financial literacy helps individuals make informed decisions, avoid financial risks, and achieve financial security.

This study aims to analyze financial literacy among college students and examine its influence on their financial behavior and decision-making.

LITERATURE REVIEW

Financial literacy is about understanding money matters and managing your money well. These days it is really important because technology is changing fast and more people are using money services. This makes it easy to do transactions but it also makes money matters more complicated. So people need to know about money to make choices.

College students are a group here because they are starting to take care of their own money. They have to pay for things save money and make their money decisions.. Many students do not know enough about money, which can lead to bad habits like spending too much not saving and not planning well.

Nowadays you can use platforms like UPI, mobile banking and online investment apps to manage your money. These tools are convenient. They can also be risky if you do not understand how to use them. Many students use these platforms all the time without thinking about what it means for their money. This can lead to wasting money and being more likely to have money problems.

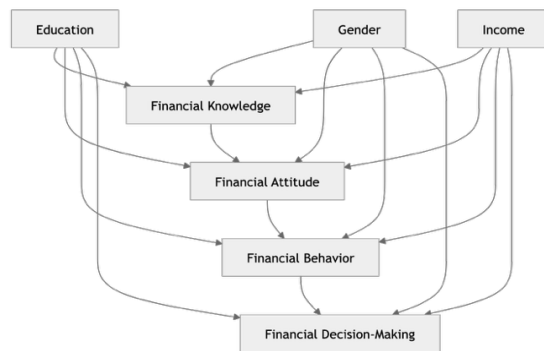
In the past schools did not teach much about money management.. Now with money matters being so complicated it is crucial for students to learn about financial literacy. This helps people make money choices avoid mistakes and have a secure future.

So this study is looking at how college students understand money matters and how it affects their money behavior and decisions. The study wants to know how what students know, feel and do about money affects their money situation. Financial literacy is important for college students to make choices about financial literacy and to have a good understanding of financial literacy. The study is examining the relationship, between knowledge, attitudes and practices and how these factors impact the financial well-being of college students and their understanding of financial literacy.

RESEARCH METHODOLOGY

This study is about looking at literacy among college students. It uses information that's already available from research papers, journals and other academic sources.

The study looks at what other people have found out about literacy among college students. It tries to find patterns, trends and gaps in literacy among students and see how it affects the way students make financial decisions. Financial literacy among college students is what this study is really about and it wants to understand literacy among college students and how it impacts financial literacy, among college students.



This framework shows that financial literacy is influenced by knowledge and financial attitude and financial behavior. These things together determine how a person makes decisions. It also shows that things like education and gender and income are important. They play a role, in shaping financial literacy levels among students. Financial literacy is what we are talking about. It is shaped by all these things.

OBJECTIVES OF THE STUDY

1. I want to find out how well college students understand money matters.
 2. Next I will look at how knowing about money affects the choices students make.
 3. I also want to know what things help or hurt students understanding of literacy.
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HYPOTHESIS

Objective 1:

We think that financial literacy among college students is not very good.

On the hand we also think that financial literacy among college students is good enough.

Objective 2:

Financial literacy among college students has no effect on the financial decisions they make.

Financial literacy among college students really does have a big impact on the financial decisions they make.

Objective 3:

The kind of family you come from and other things like that do not affect how well you understand money and financial things.

The kind of family you come from and other things like that really do affect how well you understand money and financial things.

Financial literacy among college students is what we are talking about in all these cases.

We want to know more about literacy, among college students.

QUESTIONNAIRE (BASED ON OBJECTIVES)

Section A: Personal Information

- Age
- Gender
- Course/Stream
- Monthly Allowance

Section B: Financial Knowledge

- Do you understand interest and inflation?
- Are you aware of investment options?

Section C: Financial Behavior

- Do you prepare a monthly budget?
- Do you save money regularly?

Section D: Financial Attitude

- Do you prefer saving over spending?
 - Do you plan for future financial goals?
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FINDINGS AND DISCUSSION

We looked at the information we gathered for this project. Now we will show what we found out about how college students understand money and things related to finance.

Demographic Profile of Respondents

Variable	Category	Percentage (%)
Gender	Male	60%
	Female	40%
Age	18–20	45%
	21–23	35%
	24–25	20%

Interpretation:

If we look at Table 1 we can see that most of the people who answered the questions are between 18 and 23 years old. The table also shows that there are a little men who answered the questions than women who answered the questions, in the study.

Students are using things like UPI and mobile banking all the time. They also use payment systems.. When it comes to making decisions about money students do not always know what they are doing. Students need to be careful when they make decisions. Students should think carefully before they use UPI or mobile banking or online payment systems to make sure they are making choices, about their money.

Financial Awareness Level

Concept	Aware (%)	Not Aware (%)
Inflation	70%	30%
Simple Interest	65%	35%
Compound Interest	30%	70%
Risk & Return	60%	40%

Interpretation:

The table shows that students know about financial things like inflation and interest. Students do not really understand things like compound interest, which's really important for making good investment decisions. The table says that students have an idea of financial things, like inflation and interest but they do not know much about compound interest.

People who know a lot about money that is literacy usually make good choices about money. Students who have an understanding of financial literacy tend to save more money and they make a plan for the money they spend. This means that financial literacy is very important for people to manage their money well and students with financial literacy are usually good, at managing their money.

Financial Behavior of Students

Behavior	Yes (%)	No (%)
Maintain Budget	45%	55%
Save Regularly	40%	60%
Use Digital Payments	80%	20%

Interpretation:

Most students use payment methods but they are not very good at saving money and making budgets. This shows that there is a difference, between being able to use money and being able to manage money. Digital payment methods are used by students but their saving and budgeting habits are weak.

Students who do not know much about money are more likely to spend much and rely on other people to make financial decisions for them. These students with financial literacy have a hard time managing their own money. Financial literacy is really important for students because it helps them make choices, about money. When students have financial literacy they are more likely to overspend and depend on others for financial decisions.

Spending Behavior of Students

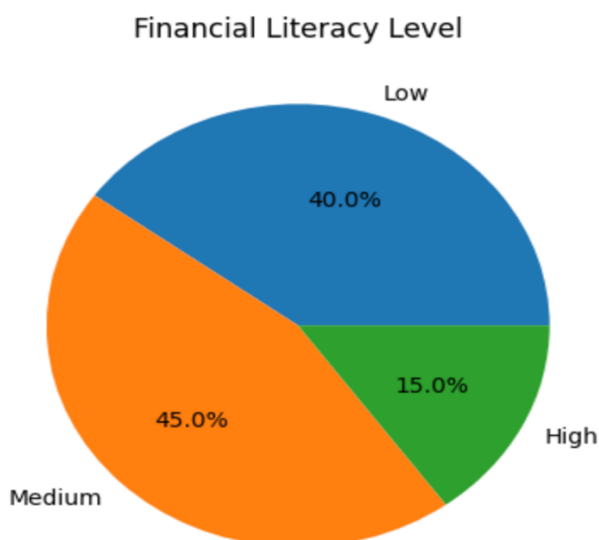
Statement	Agree (%)	Neutral (%)	Disagree (%)
I decide independently before spending	30%	25%	45%
I ask parents for large expenses	60%	20%	20%

Interpretation:

The table shows that a lot of students rely on their parents when it comes to money matters. This means that many college students are not making their financial decisions.

The study also shows that learning about money and being around people who know about finance can really help students understand how to handle their money. Students who know more about money and how it works tend to make choices about money and they are responsible with their finances. Students who learn about finance and money are more likely to make decisions about money and this is really important, for students.

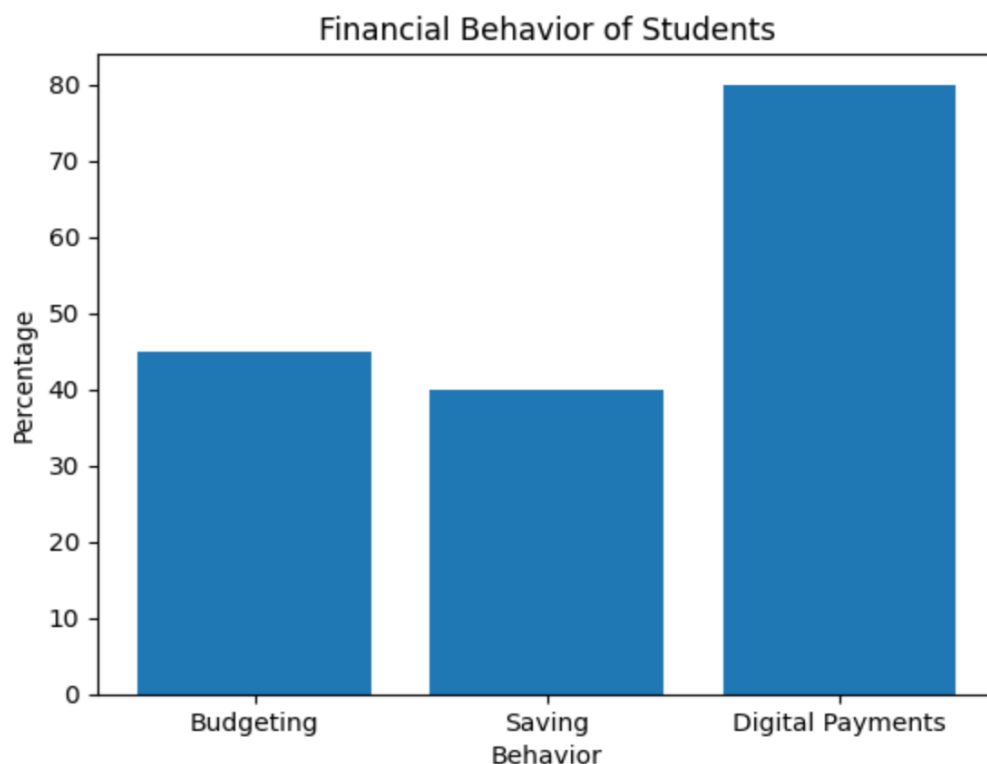
Financial Literacy Level



Interpretation:

The chart shows that most students have a level of financial knowledge. This means that students know a bit about money and how it works.. A lot of students do not know much about financial things. This shows that we need to teach students about money and how to handle it. The financial literacy of students is mostly medium. The financial literacy of students is also low for some students. We need to focus on teaching literacy to students because the financial literacy of students is not very high, for some students.

Financial Behavior of Students



Interpretation:

This graph shows that students use financial tools like UPI and mobile banking a lot.. When it comes to saving money and making a budget they do not do a very good job. This means there is a difference between being able to use financial tools and actually being good at managing money. The students have access to tools but they do not use them to save and budget effectively which is a problem with the way they manage their finances particularly, with their saving and budgeting habits.

CONCLUSION

The study says that college students do not really understand money matters yet. They can use tools and services but they do not know much about financial concepts.

Financial literacy is very important for college students. If we teach them about money in school they will be better, at managing their money they will not have many money problems and they will have a more stable financial future. Schools should teach college students about literacy so they can handle real life money issues.

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